Cardinal Infrastructure (CDNL)

Southeast Infrastructure Roll-Up

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*Southeast Infrastructure Roll-Up. Full-service civil and site development provider using a self-performing model in high-growth SE markets. Q2 revenue of $226.9M was up 114% YoY, driven by scale and the ALGC acquisition [8-K]. Margins Are the Whole Story. Adj EBITDA margin fell to 12.4% from 18.6% [8-K]. Management lifted the FY2026 revenue guide to $880-900M while cutting the margin guide. The market prices -14.3% implied revenue CAGR, below the 8% bear case [DCF model]. 103% Upside If Execution Holds. At $15.79 [Mkt 17-Oct-26], DCF base $31.96 implies 103% upside and forward P/E is 4.5x. Distressed pricing for a growing business, but leverage (D/E 0.85) is the sword of Damocles until margins recover. Our framework screens it as a **Buy** with a $32.70 blended target, 124% above the current price.*

BUY	$32.70	+124%	$14.62
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Southeast Infrastructure Roll-Up. Full-service civil and site development provider using a self-performing model in high-growth SE markets. Q2 revenue of $226.9M was up 114% YoY, driven by scale and the ALGC acquisition [8-K].

Executive summary

Margins Are the Whole Story. Adj EBITDA margin fell to 12.4% from 18.6% [8-K]. Management lifted the FY2026 revenue guide to $880-900M while cutting the margin guide. The market prices -14.3% implied revenue CAGR, below the 8% bear case [DCF model].

103% Upside If Execution Holds. At $15.79 [Mkt 17-Oct-26], DCF base $31.96 implies 103% upside and forward P/E is 4.5x. Distressed pricing for a growing business, but leverage (D/E 0.85) is the sword of Damocles until margins recover.

$226.9M	12.4%	$4.7M	$880-900M	Below prior 20%+	$313M
REVENUE (Q2 '26)	ADJ EBITDA MARGIN (Q2 '26)	NET INCOME (Q2 '26)	FY2026 REVENUE GUIDE (LIFTED)	FY2026 EBITDA MARGIN GUIDE (CUT)	MARKET CAP

The moat is structural

FY2026 revenue guide lifted to $880-900M, including the ALGC acquisition contribution

Three scenarios make the valuation range explicit

The DCF values Cardinal Infrastructure across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$18.83**	+29%
Base	50%	**$31.96**	+119%
Bull	25%	**$48.04**	+229%

Bear ($18.83, +29%): Growth disappoints and multiples compress; the $18.83 target marks the downside case.

Bull ($48.04, +229%): Execution compounds and the multiple rerates; the $48.04 target marks the upside case.

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The probability-blended target implies +124% upside

Blended target: $32.70 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +124% upside from the $14.62 reference price.

$32.70

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Fwd P/E 4.5x [Mkt 17-Oct-26] DCF Base $31.96 [DCF model] NTM EV/EBITDA 3.5x [Mkt 17-Oct-26] 103% upside to the base case. But the reverse DCF implies -14.3% revenue CAGR: the market is pricing contraction, so the discount may be earned, not gifted.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $32.70 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

FY2026 revenue guide lifted to $880-900M, including the ALGC acquisition contribution [8-K guid]

Self-performing civil and site development model across high-growth Southeast markets [8-K]

Management targeting 20%+ adjusted EBITDA margin for FY2026, implying recovery from Q2's 12.4% [8-K guid]

What to monitor

Nov 2026. Q3 2026 Earnings (Two-Sided): Adj EBITDA margin was 12.4% in Q2 vs 18.6% a year ago. Recovery toward the 20% target is the entire bull case test.

2026. ALGC Integration (Two-Sided): Acquisition closed Feb 18, 2026 and drives the $880-900M revenue guide. Execution and margin accretion are unproven.

2026-2027. Southeast Infrastructure Cycle (Positive): Civil and site development demand across high-growth SE markets supports backlog, but is cyclical and weather-exposed.

$226.9M	12.4%	$4.7M	$880-900M
REVENUE (Q2 '26)	ADJ EBITDA MARGIN (Q2 '26)	NET INCOME (Q2 '26)	FY2026 REVENUE GUIDE (LIFTED)

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$456M	$96M	$23M
2024	N/A	N/A	$21M
2023	N/A	N/A	N/A

Key risks

Margin Collapse. Adjusted EBITDA margin fell to 12.4% in Q2 from 18.6% a year ago, and management cut the full-year margin guide even while lifting revenue. Acquisition mix is diluting profitability. [8-K]

Leverage on a Small Base. $120M of debt against $140M of equity (D/E 0.85) with thin cash flow conversion. Small caps with leverage have limited room for error if margins stay depressed. [10-K FY25]

Cyclical + Integration Risk. Civil and site development is cyclical, weather-exposed, and concentrated in the Southeast. The ALGC acquisition adds integration risk on top of cycle risk. [10-K FY25]

Investment view

Q3 margin trajectory is the swing factor: sustained adjusted EBITDA recovery toward 20% would validate the bull case and the $31.96 base. Further erosion, or debt stress, would confirm the market's -14.3% implied contraction.

Buy. The $32.70 blended target implies +124% upside, balancing the $18.83 / $31.96 / $48.04 Bear / Base / Bull targets.

Self-performing civil and site development model across high-growth Southeast markets [8-K]

Management targeting 20%+ adjusted EBITDA margin for FY2026, implying recovery from Q2's 12.4% [8-K guid]

Upcoming catalysts

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